

giving them a chance to emerge rather than dismantling them. While it was obviously a response to the crash of 1929 and the dire economic conditions of the 1930s, the charter of the bill was to be of “permanent helpful assistance to distressed corporations,” providing “the opportunity for amicable adjustment by debtor and creditors, under the supervision and protection of the bankruptcy courts, and for holding the property of the debtor intact with its operation disturbed as little as practicable.”³

Bankruptcy as we know it today, particularly Chapter 11 of the bankruptcy code, emerged from the 1978 reform, furthering the goal to maintain corporate operations, save jobs, and attract new sources of credit, while freezing pre-petition debt collection until it could be sorted out over time. As described by Professor Charles J. Tabb, a leading bankruptcy scholar, “the most often repeated justification for chapter 11 is to maximize the value of the debtor firm. The operative assumption is that there is a going-concern surplus for a reorganized firm over and above its liquidation value. In short, the most fundamental reason for having a corporate rescue procedure such as chapter 11 is to maximize value for the benefit of all stakeholders in the enterprise. More money is better than less.”⁴ Voila! Distressed investing could begin in earnest. Graham and Dodd indeed presumed that the process would be beneficial, but “the new laws have not yet had time to prove their merits or deficiencies in actual practices.” (Chap. 18) Our scribes were, simply put, too early.

Nevertheless, they managed to give me a career. It’s true! My big breakthrough as an investor finds its origin in *Security Analysis*, deep

³ U.S. Congress, House of Representatives, Committee on the Judiciary, *Bankruptcy Act Revision: Hearings Before the Subcommittee on Civil and Constitutional Rights*, 94th Congress, 2nd session, 1976, p. 374, https://books.google.fr/books/about/Bankruptcy_Act_Revision.html?id=7IG3cVV9aY8C&redir_esc=y.

⁴ Charles Jordan Tabb, “What’s Wrong with Chapter 11?,” University of Illinois College of Law Legal Studies Research Paper No. 19–15, March 13, 2019, <https://ssrn.com/abstract=3352137> or <http://dx.doi.org/10.2139/ssrn.3352137>.